EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity and progress, through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2021 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Position			
Assets	293,289,529.25	322,584,788.20	(29,295,258.95)
Liabilities	64,203,142.00	82,489,890.90	(18,286,748.90)
Govt. Equity	229,086,387.25	240,094,897.30	(11,008,510.05)
Financial Performance			
Income	142,856,949.00	132,801,795.74	10,055,153.26
Expense	148,356,266.62	116,325,175.88	32,031,090.74
Appropriations, Allotments and Obligation			
Appropriations	176,150,646.00	154,463,868.00	21,686,778.00
Allotments	176,150,646.00	154,463,868.00	21,686,778.00
Obligations	153,645,443.26	121,591,676.97	32,053,766.29

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Ballesteros, Cagayan for the year December 31, 2021 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards and PPE Ledger Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I.

2. The accuracy of the Road Networks account balance totaling P76,850,168.71 as at December 31, 2021 cannot be established due to: (1) failure to conduct verification of the existence of the local road network; (2) absence of Local Road Network Property Cards for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the total road network system, contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, affect the reliability and fair presentation of the account in the financial statements.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The slow implementation of various development projects programmed under the 20% Development Fund for current and continuing appropriations resulted in the unutilized amount of P19,280,132.18 and deprived the intended beneficiaries of the benefits that could be derived therefrom, which adversely affected the efficiency of the Municipality towards the achievement of its goals.**

   We recommended that the Management:

   a. Make a strategic action plan on the proper scheduling in the implementation of the projects /programs to ensure its full implementation, as well as utilize the funds budgeted thereon.

   b. Review whether or not the prior years' unimplemented projects are still appropriate for the needs of the constituents.

c. Direct the concerned department to monitor regularly the implementation of the 20% Development Plan and closely coordinate with other departments to fully achieve the desired goals and benefits as planned.

d. Review the unexpended balances of appropriation of all completed PPAs for inclusion in the next budgeting period to finance projects under the 20% DF for the succeeding year.

2. **Outstanding checks totaling to P4,079,410.95 as of October 31, 2021 included stale checks amounting to P3,030,859.52 which have been stale for more than six (6) months contrary to Section 104 of the Government Accounting Manual for LGUS, Volume I, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.**

   We recommended that the Municipal Accountant:

   1. Exert extra effort to review the long outstanding/stale checks and require the Municipal Treasurer to cancel the unclaimed stale checks and to furnish the Accounting Office with the original Disbursement Vouchers and its supporting documents, for the preparation of the Journal Entry Voucher following the procedures prescribed to ensure recording of such cancellation.

   2. Secure Monthly Bank Statements to prepare the Bank Reconciliation Statements to determine whether checks claimed by the payees were presented for payment, and secure the addresses of the payees for notification of the return of stale checks in their possession for replacement.

   3. Draw the JEV to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded Cash in Bank and accounts payable accounts.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68			116,827.68	-
Current Year	-			-	
Total	**116,827.68**			**116,827.68**	-
Disallowances					
Prior Years	501,897.77		27,062.50	474,835.27	5.39%
Current Year	-			-	
Total	**501,897.77**		**27,062.50**	**474,835.27**	5.39%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (7) audit recommendations embodied in the CY 2020 Annual Audit Report, three (3) were fully implemented, one (1) was partially implemented and three (3) were not implemented.